

FARMLAND LEASE AGREEMENT

Bridwell Family Trust - Hoffman Organics LLC

PARTIES

This Farmland Lease Agreement is entered into as of March 15, 2024, by and between the Bridwell Family Trust (Lessor), represented by Thomas W. Bridwell, Trustee, with a mailing address of 4820 Tieton Drive, Yakima, WA 98908, and Hoffman Organics LLC (Lessee), represented by James R. Hoffman, Managing Member, with a principal place of business at 7214 Wide Hollow Road, Yakima, WA 98908.

ARTICLE 1 - PREMISES

Lessor hereby leases to Lessee approximately twelve (12) acres of certified organic farmland located in Yakima County, Washington, identified as Yakima County Assessor Parcel No. 181320-41025, together with all existing irrigation infrastructure, the two cold-storage outbuildings (Building A, 1,200 sq ft; Building B, 800 sq ft), and the seasonal greenhouse structure adjacent to the western fence line.

ARTICLE 2 - TERM

The initial term of this lease shall be three (3) years, commencing on April 1, 2024, and terminating on March 31, 2027, unless earlier terminated or renewed pursuant to the terms of this Agreement. Lessee shall have the option to renew for two additional three-year terms upon written notice delivered to Lessor no later than ninety (90) days prior to the expiration of the then-current term.

ARTICLE 3 - RENT

Lessee shall pay to Lessor a monthly rent of One Thousand Eight Hundred Dollars (\$1,800.00), due on the first day of each calendar month. Rent shall be payable by electronic transfer to the account designated by Lessor or by check mailed to the address above. A late fee of \$50.00 shall apply if rent is not received by the tenth (10th) day of the month.

ARTICLE 4 - PERMITTED USE AND ORGANIC CERTIFICATION

The Premises shall be used exclusively for USDA-certified organic farming operations, including but not limited to the cultivation of vegetables, herbs, and orchard fruits. Lessee shall maintain USDA Organic certification (NOP) throughout the term and shall not apply any synthetic pesticides, herbicides, or fertilizers prohibited under 7 CFR Part 205. Lessee bears responsibility for annual inspection costs and compliance documentation.

ARTICLE 5 - EXPANSION OPTION

Lessor grants Lessee a right of first refusal on the adjacent 0.5-acre parcel (Parcel No. 181320-41026, currently fallow) for orchard expansion purposes. Should Lessee wish to exercise this option, Lessee shall provide written notice to Lessor and both parties shall negotiate in good faith regarding additional lease terms, including any incremental rent and the scope of cherry tree planting. Exercise of this option is subject to mutual agreement between Lessee and his spouse, Catherine Hoffman, as the expansion involves material capital commitment from the household.

ARTICLE 6 - IMPROVEMENTS AND MAINTENANCE

Lessee may make improvements to the Premises, including greenhouse repairs, irrigation upgrades, and cold-storage modifications, with prior written consent of Lessor (which shall not be unreasonably withheld). All permanent improvements shall become property of Lessor upon termination. Lessee is responsible for routine maintenance of irrigation systems, greenhouse poly covering, and access roads within the leased boundary.

ARTICLE 7 - WATER RIGHTS

Lessor represents that the Premises carry appurtenant water rights under Washington State water law sufficient for

irrigated organic agriculture. Any disputes regarding water allocation with neighboring parcels, including the pending Peters Farms water rights matter, shall be the responsibility of Lessee to pursue at Lessee expense, provided that Lessor shall cooperate with reasonable requests for documentation of historical water usage on the Premises.

SIGNATURES

Thomas W. Bridwell, Trustee
Bridwell Family Trust
Date: March 15, 2024

James R. Hoffman, Managing Member
Hoffman Organics LLC
Date: March 15, 2024